

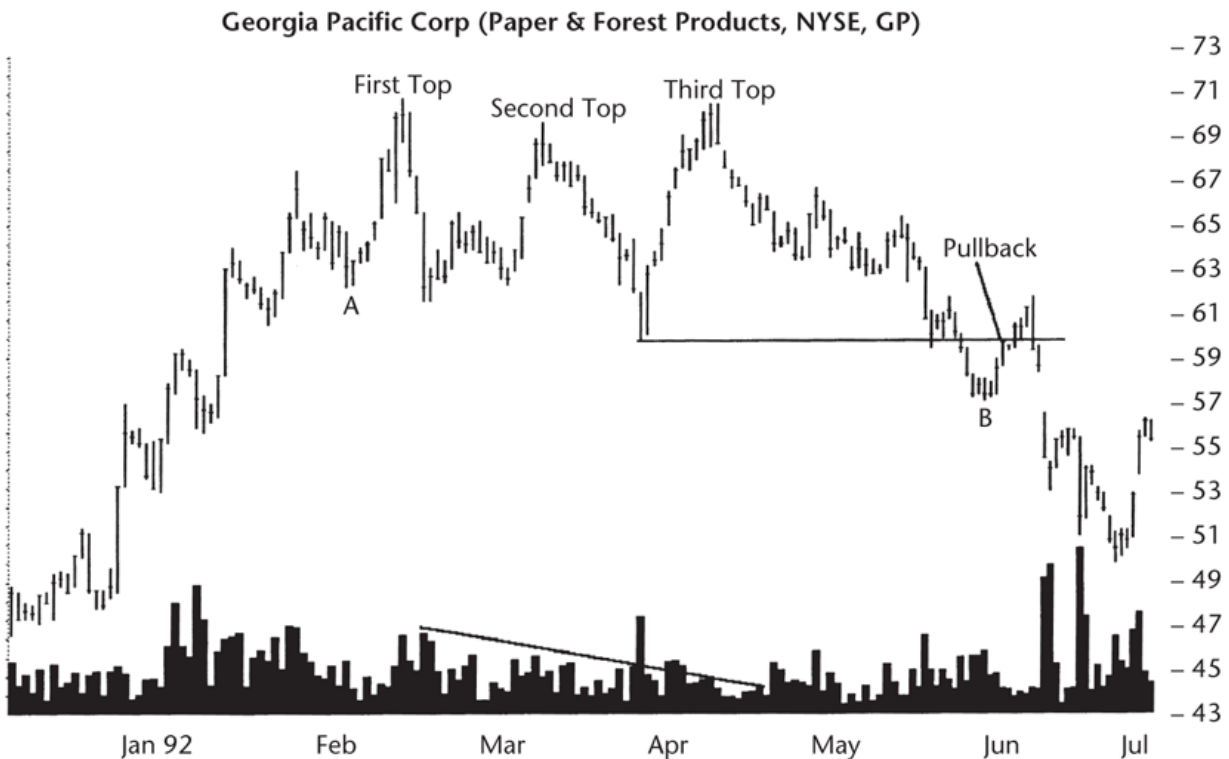


Figure 68.2 This triple top shows three distinct widely spaced tops at nearly the same price level.

The receding volume trend is clear in the figure with the first peak witnessing the highest volume of the three.

An interesting development in this chart pattern is a trendline drawn below the lows (not shown but it connects points A and B on the chart). With another trendline drawn horizontally across the three tops, the pattern takes on the appearance of a right-angled descending broadening top.

In many triple tops, the broadening formation also appears. This occurrence does not diminish the validity of the triple top; it just makes both formations easier to trade (because you can buy or sell at the trendlines and take advantage of partial rises or declines).

Appearance. When searching for a triple top or verifying that the three bumps on a price chart belong to the pattern, look at the high price of each peak. They should be priced near one another. A center peak that towers above the other two suggests the pattern is a head-and-shoulders top. When the tops consistently inch upward, the activity suggests a broadening top. Three consecutively lower peaks could be a three falling peaks pattern.